

TEM — Assumptions

TEM — DCF Model Assumptions				
All dollar inputs in \$thousands Blue = input				

A. HISTORICAL FINANCIAL DATA (Source: TEM 10-K F				
Line Item	FY2023	FY2024	FY2025	Notes
Revenue	531,822	693,398	1,271,789	Source: EDGAR
Cost of Revenue	340,802	479,804	619,999	Source / derived
Gross Profit (\$000s)				Formula: Revenue – CoR
Gross Margin %				Formula
SG&A	296,760	755,351	731,738	Source: EDGAR
R&D	90,343	149,325	172,924	Source: EDGAR
EBIT (Operating Loss)	-196,083	-691,082	-252,872	Source: EDGAR
D&A	21,279	26,356	32,054	Source: EDGAR Cash Flow
Stock-Based Comp	0	534,138	124,747	Source: EDGAR Cash Flow
CapEx (PP&E)	34,608	22,121	21,049	Source: EDGAR Cash Flow
Capitalized Software	6,137	4,292	5,535	Source: EDGAR
Interest Expense	46,869	53,653	70,267	Source: EDGAR
Interest Income	7,601	11,084	12,628	Source: EDGAR
Net Loss	-214,118	-705,809	-245,028	Source: EDGAR

A2. BALANCE SHEET SNAPSHOT (Source: TEM 10-K FY2			
Line Item	FY2024	FY2025	Notes
Cash & Equivalents	340,954	604,787	EDGAR Cash
AFS Investments (Current)	0	0	EDGAR / 0 if none
AFS Investments (Non-Current)	0	0	EDGAR / 0 if none
Total Liquidity			Formula: Cash + AFS
Accounts Receivable	154,819	311,170	EDGAR AR
Goodwill	73,343	470,211	EDGAR Goodwill
Intangibles, net	11,716	355,253	EDGAR Intangibles
Total Debt (Gross Principal)	168,192	208,672	EDGAR Debt
Debt Used in Bridge (Conv. Notes)		208,672	Convertible notes; no near-term forced conver
Shares Outstanding	119,849,000	174,264,000	EDGAR diluted shares
Shares Used in Bridge		174,264,000	FY2025 diluted weighted-average × 1000
Federal NOL Carryforward (\$K)		727,301	EDGAR DeferredTaxAssetsGross FY2025

B. REVENUE GROWTH ASSUMPTIONS (Yellow = key inputu				
Assumption	Base Case	Bull Case	Bear Case	Notes
FY2026 Revenue Growth Rate	35.0%	45.0%	20.0%	Moderation from 83% FY2025; Ambry now integra
FY2027 Revenue Growth Rate	30.0%	38.0%	15.0%	Data platform + genomics ramp
FY2028 Revenue Growth Rate	25.0%	32.0%	12.0%	
FY2029 Revenue Growth Rate	22.0%	28.0%	10.0%	

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Gross Margin % — FY2028	59.0%	63.0%	52.0%	
Gross Margin % — FY2029	62.0%	66.0%	54.0%	
Gross Margin % — FY2030	64.0%	69.0%	56.0%	
Gross Margin % — FY2031–35	67.0%	72.0%	58.0%	
Gross Margin % — FY2036–45	70.0%	76.0%	60.0%	
SG&A as % Revenue — FY2026	48.0%	42.0%	56.0%	FY2025=57.5% incl SBC; heavy sales investment
SG&A as % Revenue — FY2027	42.0%	36.0%	52.0%	
SG&A as % Revenue — FY2028	37.0%	31.0%	47.0%	
SG&A as % Revenue — FY2029	33.0%	27.0%	43.0%	
SG&A as % Revenue — FY2030	28.0%	22.0%	40.0%	
SG&A as % Revenue — FY2031–35	22.0%	17.0%	34.0%	
SG&A as % Revenue — FY2036–45	18.0%	13.0%	28.0%	
R&D as % Revenue — All Years	11.0%	13.0%	10.0%	FY2025=13.6%; normalizing
D&A as % Revenue — All Years	8.0%	7.0%	9.0%	Elevated post-Ambry intangible amort
CapEx as % Revenue — All Years	4.0%	3.0%	5.0%	Asset-light; FY2025=2.1% rev
Stock-Based Comp as % Revenue	10.0%	9.0%	12.0%	
Change in NWC as % Rev Change	6.0%	4.0%	9.0%	AR-heavy; genomics payer lag
Tax Rate (Cash)	0	0	2.0%	\$727M DTA / large NOL
Tax Rate (Terminal / WACC)	21.0%	21.0%	21.0%	

D. WACC ASSUMPTIONS				
Assumption	Base Case	Bull Case	Bear Case	Notes
Risk-Free Rate	4.3%	4.0%	4.6%	10-yr US Treasury May 2026
Equity Risk Premium	5.5%	5.0%	6.0%	Damodaran US ERP
Beta (Levered)	1.70	1.40	2.10	Health-AI growth co.; post-IPO volatility
Size / Illiquidity Premium	2.0%	1.0%	3.0%	
Cost of Equity				Formula: Rf + Beta×ERP + Size
Pre-Tax Cost of Debt	5.5%	5.0%	6.5%	
Weight of Equity	85.0%	90.0%	80.0%	
Weight of Debt				Formula: 1 – Weight of Equity
WACC				Formula: Ke×We + Kd×(1–t)×Wd

E. TERMINAL VALUE ASSUMPTIONS				
Assumption	Base Case	Bull Case	Bear Case	Notes
Terminal Growth Rate (Gordon Growth)	3.5%	4.0%	2.5%	Must be < WACC; healthcare AI long-run GDP+ g
Terminal EV/EBITDA Multiple (cross-check)	20	28	12	Comp range
Terminal EBITDA Margin (for EV/EBITDA check)	28.0%	35.0%	18.0%	

F. WACC DECOMPOSITION — Why WACC is high & the tw				
Component	Current Value	Source / Formula	Contribution to WACC	How to Lower It

TEM — Assumptions

Stage 2 — Proven Platform	1	0.5%	ARR visible; genomics recurring revenue
Stage 3 — Re-Rating (\$50+)	80.0%	0	Debt-free, profitable 3+ yrs
Blue Sky — Epic/PLTR Comp	60.0%	0	Tempus moat = health-AI infrastructure

TEM — DCF Model

TEM — 20-Year Unlevered Free Cash F									
Year	FY2025 (Actu	2026	2027	2028	2029	2030	2031	2032	2033
A. REVENUE PROJECTION									
Revenue Growth Rate (Active Scenari	—								
Revenue (\$000s)									
B. INCOME STATEMENT PROJECTION									
Gross Margin %									
Gross Profit (\$000s)									
SG&A as % Revenue									
SG&A (\$000s)									
R&D as % Revenue									
R&D (\$000s)									
EBIT (\$000s)									
EBIT Margin %									
Cash Tax Rate (Active Scenario)									
NOPAT = EBIT × (1 – Tax Rate) (\$000									
C. UNLEVERED FREE CASH FLOW BUILD									
D&A as % Revenue									
(+) D&A (\$000s)									
CapEx as % Revenue									
(–) CapEx + Capitalized Software									
Δ NWC as % Revenue Change									
(–) Change in NWC (\$000s)									
UNLEVERED FCF (\$000s)									
UFCF Margin %									
D. DISCOUNTING (Mid-Year Conventi									
WACC (Active Scenario)									
Discount Period (Mid-Year)	—								
Discount Factor	—								
PV of UFCF (\$000s)	—								
Sum of PV (UFCF) — Years 1–20 (\$000									
E. TERMINAL VALUE (Gordon Growth									
Year 20 UFCF (\$000s)									
Terminal Growth Rate (Active Sce									
WACC (Active Scenario)									
Terminal Value (undiscounted) (\$000									
Terminal Value Discount Factor (									
PV of Terminal Value (\$000s)									
Terminal Value as % of Total Ent									
Terminal Value Cross-Check: EV/EBIT									
Year 20 Revenue (\$000s)									
Terminal EBITDA Margin (Active S									

TEM — DCF Model

FY2030E Revenue (\$000s)						
FY2045E Revenue (\$000s)						
FY2026E Gross Margin %						
FY2026E EBIT (\$000s)						
WACC						
Terminal Growth Rate						
Sum PV of FCFs (\$000s)						
PV of Terminal Value (\$000s)						
Enterprise Value (\$000s)						
Equity Value (\$000s)						
Implied Share Price (\$)						
H. SENSITIVITY: Implied Share Pric						
WACC \ TGR →	2.0%	2.5%	3.0%	3.5%	4.0%	4.5%
10%						
12%						
14%						
16%						
18%						
20%						

Rev 2045	
UFCF 2026	
UFCF 2027	
UFCF 2028	
UFCF 2029	
UFCF 2030	
UFCF 2031	
UFCF 2032	
UFCF 2033	
UFCF 2034	
UFCF 2035	
UFCF 2036	
UFCF 2037	
UFCF 2038	
UFCF 2039	
UFCF 2040	
UFCF 2041	
UFCF 2042	
UFCF 2043	
UFCF 2044	
UFCF 2045	
PV_UFCF 2026	
PV_UFCF 2027	
PV_UFCF 2028	
PV_UFCF 2029	
PV_UFCF 2030	
PV_UFCF 2031	
PV_UFCF 2032	
PV_UFCF 2033	
PV_UFCF 2034	
PV_UFCF 2035	
PV_UFCF 2036	
PV_UFCF 2037	
PV_UFCF 2038	
PV_UFCF 2039	
PV_UFCF 2040	
PV_UFCF 2041	
PV_UFCF 2042	
PV_UFCF 2043	
PV_UFCF 2044	
PV_UFCF 2045	
Sum PV_UFCF	

TEM — DCF Model Columns 11-19

TEM — 20-Year Unlevered Free Cash F									
Year	2034	2035	2036	2037	2038	2039	2040	2041	2042
A. REVENUE PROJECTION									
Revenue Growth Rate (Active Scenari									
Revenue (\$000s)									
B. INCOME STATEMENT PROJECTION									
Gross Margin %									
Gross Profit (\$000s)									
SG&A as % Revenue									
SG&A (\$000s)									
R&D as % Revenue									
R&D (\$000s)									
EBIT (\$000s)									
EBIT Margin %									
Cash Tax Rate (Active Scenario)									
NOPAT = EBIT × (1 – Tax Rate) (\$000									
C. UNLEVERED FREE CASH FLOW BUILD									
D&A as % Revenue									
(+) D&A (\$000s)									
CapEx as % Revenue									
(–) CapEx + Capitalized Software									
Δ NWC as % Revenue Change									
(–) Change in NWC (\$000s)									
UNLEVERED FCF (\$000s)									
UFCF Margin %									
D. DISCOUNTING (Mid-Year Conventi									
WACC (Active Scenario)									
Discount Period (Mid-Year)									
Discount Factor									
PV of UFCF (\$000s)									
Sum of PV (UFCF) — Years 1–20 (\$000									
E. TERMINAL VALUE (Gordon Growth									
Year 20 UFCF (\$000s)									
Terminal Growth Rate (Active Sce									
WACC (Active Scenario)									
Terminal Value (undiscounted) (\$000									
Terminal Value Discount Factor (									
PV of Terminal Value (\$000s)									
Terminal Value as % of Total Ent									
Terminal Value Cross-Check: EV/EBIT									
Year 20 Revenue (\$000s)									
Terminal EBITDA Margin (Active S									

FY2030E Revenue (\$000s)
FY2045E Revenue (\$000s)
FY2026E Gross Margin %
FY2026E EBIT (\$000s)
WACC
Terminal Growth Rate
Sum PV of FCFs (\$000s)
PV of Terminal Value (\$000s)
Enterprise Value (\$000s)
Equity Value (\$000s)
Implied Share Price (\$)

H. SENSITIVITY: Implied Share Price

WACC \ TGR →

10%
12%
14%
16%
18%
20%

■■ SCENARIO ENGINE (helper rows – d

Metric

Rev 2026
Rev 2027

Rev 2045
UFCF 2026
UFCF 2027
UFCF 2028
UFCF 2029
UFCF 2030
UFCF 2031
UFCF 2032
UFCF 2033
UFCF 2034
UFCF 2035
UFCF 2036
UFCF 2037
UFCF 2038
UFCF 2039
UFCF 2040
UFCF 2041
UFCF 2042
UFCF 2043
UFCF 2044
UFCF 2045
PV_UFCF 2026
PV_UFCF 2027
PV_UFCF 2028
PV_UFCF 2029
PV_UFCF 2030
PV_UFCF 2031
PV_UFCF 2032
PV_UFCF 2033
PV_UFCF 2034
PV_UFCF 2035
PV_UFCF 2036
PV_UFCF 2037
PV_UFCF 2038
PV_UFCF 2039
PV_UFCF 2040
PV_UFCF 2041
PV_UFCF 2042
PV_UFCF 2043
PV_UFCF 2044
PV_UFCF 2045
Sum PV_UFCF

TEM — DCF Model Columns 20-22

TEM — 20-Year Unlevered Free Cash F			
Year	2043	2044	2045
A. REVENUE PROJECTION			
Revenue Growth Rate (Active Scenari			
Revenue (\$000s)			
B. INCOME STATEMENT PROJECTION			
Gross Margin %			
Gross Profit (\$000s)			
SG&A as % Revenue			
SG&A (\$000s)			
R&D as % Revenue			
R&D (\$000s)			
EBIT (\$000s)			
EBIT Margin %			
Cash Tax Rate (Active Scenario)			
NOPAT = EBIT × (1 – Tax Rate) (\$000			
C. UNLEVERED FREE CASH FLOW BUILD			
D&A as % Revenue			
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CapEx as % Revenue			
(-) CapEx + Capitalized Software			
Δ NWC as % Revenue Change			
(-) Change in NWC (\$000s)			
UNLEVERED FCF (\$000s)			
UFCF Margin %			
D. DISCOUNTING (Mid-Year Conventi			
WACC (Active Scenario)			
Discount Period (Mid-Year)			
Discount Factor			
PV of UFCF (\$000s)			
Sum of PV (UFCF) — Years 1–20 (\$000			
E. TERMINAL VALUE (Gordon Growth			
Year 20 UFCF (\$000s)			
Terminal Growth Rate (Active Sce			
WACC (Active Scenario)			
Terminal Value (undiscounted) (\$000			
Terminal Value Discount Factor (			
PV of Terminal Value (\$000s)			
Terminal Value as % of Total Ent			
Terminal Value Cross-Check: EV/EBIT			
Year 20 Revenue (\$000s)			
Terminal EBITDA Margin (Active S			

TEM — DCF Model Columns 20-22

FY2030E Revenue (\$000s)
FY2045E Revenue (\$000s)
FY2026E Gross Margin %
FY2026E EBIT (\$000s)
WACC
Terminal Growth Rate
Sum PV of FCFs (\$000s)
PV of Terminal Value (\$000s)
Enterprise Value (\$000s)
Equity Value (\$000s)
Implied Share Price (\$)
H. SENSITIVITY: Implied Share Pric
WACC \ TGR →
10%
12%
14%
16%
18%
20%
■■ SCENARIO ENGINE (helper rows – d
Metric
Rev 2026
Rev 2027

Rev 2045
UFCF 2026
UFCF 2027
UFCF 2028
UFCF 2029
UFCF 2030
UFCF 2031
UFCF 2032
UFCF 2033
UFCF 2034
UFCF 2035
UFCF 2036
UFCF 2037
UFCF 2038
UFCF 2039
UFCF 2040
UFCF 2041
UFCF 2042
UFCF 2043
UFCF 2044
UFCF 2045
PV_UFCF 2026
PV_UFCF 2027
PV_UFCF 2028
PV_UFCF 2029
PV_UFCF 2030
PV_UFCF 2031
PV_UFCF 2032
PV_UFCF 2033
PV_UFCF 2034
PV_UFCF 2035
PV_UFCF 2036
PV_UFCF 2037
PV_UFCF 2038
PV_UFCF 2039
PV_UFCF 2040
PV_UFCF 2041
PV_UFCF 2042
PV_UFCF 2043
PV_UFCF 2044
PV_UFCF 2045
Sum PV_UFCF